

Chapter 1

The Nature of Organizational Behavior



Chapter Outline

- *What is Organizational Behavior?*
- *Levels of analysis of Organizational Behavior*
- *Characteristics of Organizational Behavior*
- *The Development of Organizational Behavior*
- *Contributing Disciplines to Organizational Behavior*

Organizational Behavior (OB)

- *What is organization?*
- *What is human behavior?*
- *What is an Organizational Behavior?*
- *We must first know about organization before we define OB.*

What is an Organization?

- *Organization is a consciously coordinated social unit:*
 - *composed of a group of people*
 - *functioning on a relatively continuous basis*
 - *to achieve a common goal or set of goals.*
- *Goals can be both personal and organizational and/ or Societal*
- *Human behavior comprises attitude, thought, and actions*

What is Organizational Behavior?

- Organizational behavior is a field of study that investigates the **impact** that individuals, groups and organizational structure have on behavior within the organization, for the purpose of applying such knowledge towards improving an organizational effectiveness (Robbins)
- The study and application of knowledge about human behavior related to other elements of an organization such as structure, technology and social systems (LM Prasad)



What is Organizational Behavior?

- *Stephen P. Robins defines “Organizational behavior as a systematic study of the **actions and attitudes** that people exhibit within organizations.”*
- *OB involves integration of studies undertaken relating to behavioral sciences like psychology, sociology, anthropology, economics, social psychology and political science.*

What is Organizational Behavior?

❖ *The study of organizational behavior embraces an understanding of:*

- *The behavior of people;*
- *The process of management;*
- *The organizational context in which the process of management takes place;*
- *Organizational processes and the execution of work; and*
- *Interactions with the external environment of which the organization is part.*

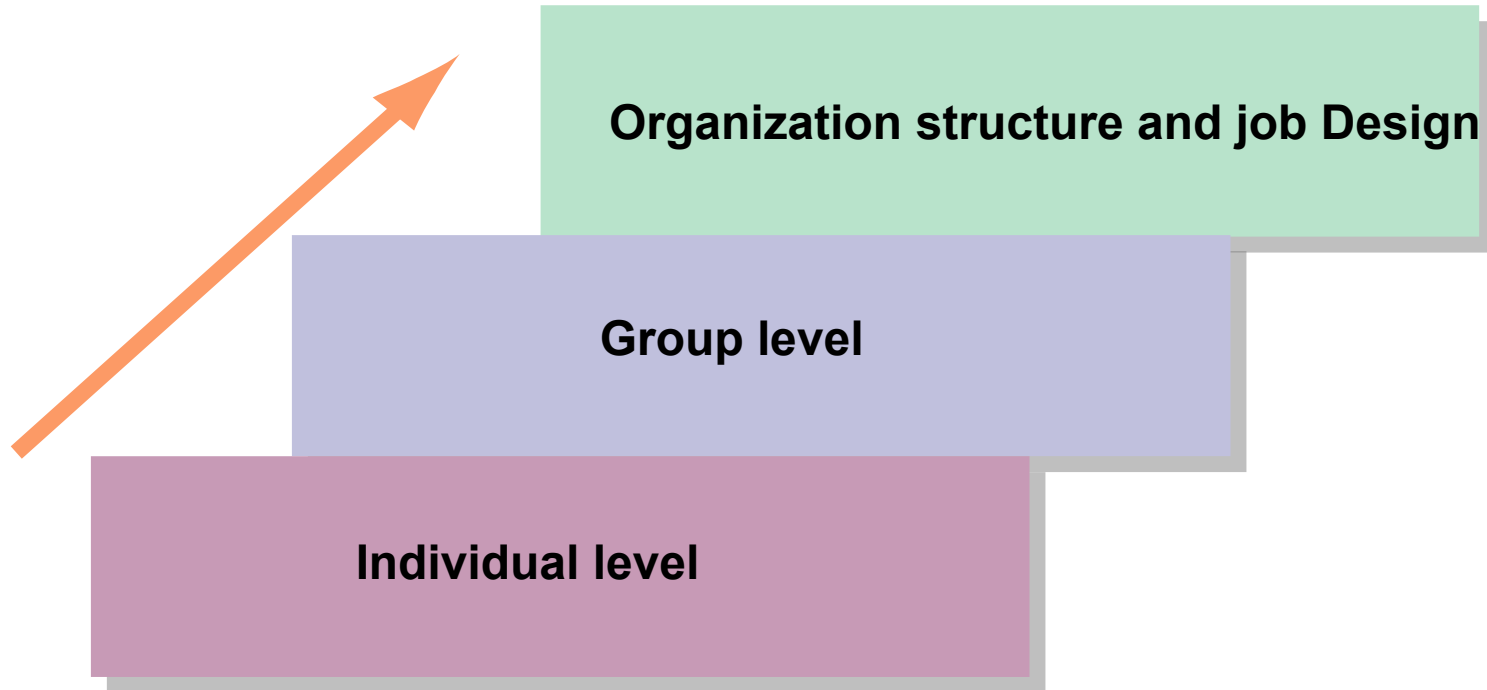
What is Organizational Behavior?

- *Organizations exist to provide goods and services that people want, and the amount and quality of these goods and services are products of the behaviors and performance of an organization's employees-of its managers, of highly skilled employees in sales or research and development, and of the employees who actually produce or provide the goods and services.*

Why Do We Study OB?

- *To learn about yourself and others*
- *To understand how the many organizations you encounter work*
- *To become familiar with team work*
- *To help you think about the people issues faced by managers and entrepreneurs*

Levels of analysis of Organizational Behavior



1. Individual Behavior

- *At one level, we can view organizations as consisting of individuals working on tasks in the pursuit of personal and organizational goals.*
- *As a result, in order to understand organizations, it is necessary to understand people, particularly from the perspective of individual organizational member*
- *Much of what we know about individuals is drawn from the discipline of **psychology**, and it is from this field that theories and explanations regarding **why individuals behave and react** as they do in response to different organizational policies, practices, and procedures is obtained.*

2. Group Behavior

- *focus upon the interactions of people as they work in committees, teams, groups, units, or departments.*
- *This perspective on organization behavior considers the functioning of these various types of groups, asking questions such as:*
 1. *How do people work together in groups?*
 2. *What factors determine whether a group will be **cohesive and productive**, as opposed to fragmented and unproductive?*
 3. *How does leadership influence group members and their ability to work together co-operatively and productively?*
- *This level of analysis draws in particular on theories from **Social Psychology***

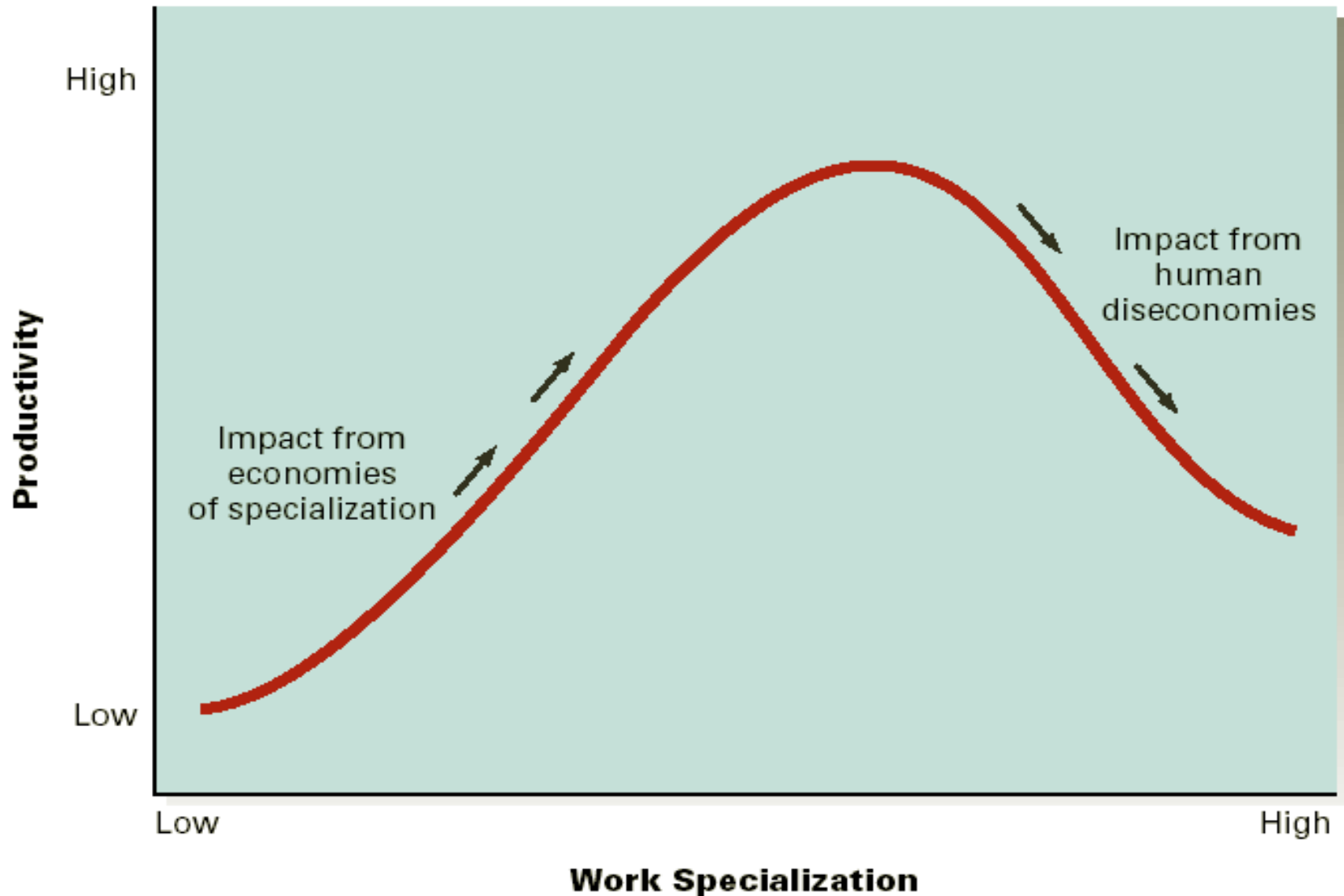
Organizational Structure and Job Design

- *The 3rd level of analysis has to do with the way organizations are formally structured and with the way in which jobs are designed.*
- *Concern at this level of analysis is with the relationship between two organization & its environment*

Organizational Structure and Job Design

- *Emphasis is placed upon understanding how organization structure & job design influence effectiveness (for example, how different ways of assigning duties and responsibilities to departments may influence the ability of these departments and the whole organization to do their work effectively).*
- *It takes into account the relationship between specialization and productivity of the organization (Economies of work specialization)*

Economies of Work Specialization



Characteristics of Organizational Behavior

- ❖ *All organization (Gov't, private or NGO) have the following common characteristics:*
 1. *Organizations are composed of individuals and groups*
 2. *Organizations are oriented toward the achievement of goals*
 3. *Organizations need employees' specialization and coordination in order to accomplish their goals.*

The Development of Organizational Behavior

- *By most estimates organizational behavior emerged as a distinct field around 1940s.*
- *However, its origin can be traced much further back in time*
 1. *The pre-scientific Era(pre 1000-1880)*
 2. *The classical Era(1880-1930)*
 3. *The behavioral or Neo-classical Era (1930-1960)*
 4. *The Modern Era (1960 onwards)*

1.The pre-scientific Era(pre 1000-1880)

- *Generally, the practice of management can be traced to earliest history as abundant archaeological evidences, such as the great pyramids, stands in silent tribute to the talent of bygone managers*
- *During this time, tasks of managers in ancient civilizations were extremely difficult because of illiterate workers, miserable working conditions, primitive agrarian economies, etc.*

1.The pre-scientific Era(pre 1000-1880)

❖Some of the evidences are:

- ***SUMERIANS (5000 B.C.)MODERN-DAY IRAQ AND KUWAIT***
 - USED WRITTEN RULES AND REGULATIONS FOR GOVERNANCE
- ***EGYPTIANS (4000-1600 B.C.)***
 - USED MANAGERIAL PRACTICES TO CONSTRUCT THE GREAT PYRAMIDS
- ***BABYLONIANS (1800 B.C) ...MODERN-DAY IRAQ 59 MILES SOUTHWEST OF BAGHDAD.***
 - USED EXTENSIVE SETS OF LAWS AND POLICIES FOR GOVERNANCE
- ***HEBREWS (1941 B.C)...ISRAEL***
 - MOSES IN EXODUS INDICATES SOME KEY MANAGEMENT CONCEPTS. (E.g, Exodus 18)
- ***CHINESE (1100 – 500 B.C)***
 - USED EXTENSIVE ORGANIZATION STRUCTURE FOR GOVERNANCE AND THE ARTS
- ***GREECE (400 B.C)***
 - USED DIFFERENT GOVERNING SYSTEMS FOR CITIES AND STATES
- ***INDIA (321 B.C)***
 - KAVTILYA ADDRESSES ORGANIZATION & MANAGEMENT OF TRADE & COMMERCE; LAW & COURT; SOCIAL CUSTOMS; MARRIAGE; TAXATION; ETC.
- ***ROMANS (284 B.C)***
 - USED ORGANIZED STRUCTURE FOR COMMUNICATION AND CONTROL

2.The Classical Era(1880-1930)

- During this time, the first theory of management began to evolve.
- Two major theories were *administrative theory and scientific management*

I. Scientific management (Fredrick W. Taylor, 1911)–
scientific management is the kind of management which conducts a business or affairs by standards established by factors or truths gained through systematic observation, experiment or reasoning

- He published the *principle of scientific management*

II. Administrative theory(Henry Fayol , 1916)

- *Fayol divided the manager's job in to five functions; planning, organizing, command, coordination and control.*
- *He then recommended 14 universal principles of management*[14 Principles.docx](#)
- *Fayol viewed as potentially disruptive factor to be closely controlled by management.*
- *Thus, these 14 principles emphasized on division of labor, authority, discipline, and strictly enforced chain of command, etc.*

3. The behavioral or Neo-classical Era (Elton Mayo and Mary parker Follett 1930-1960)

- *A significant landmark in the evolution of managing and understanding the **behavior of people in the behavioral Era** was the outcomes of the human relation movement during the 1930s*
- *Elton Mayo advised managers to attend to the **emotional needs of employees** in his 1933 classic study, the human problem of industrial civilization*
- ***Mary Follett** told managers to motivate job performance instead of merely demanding it, a "pull" rather than a "push" strategy (from her studies on employees as a complex bundle of attitudes, beliefs and needs).*

4. The Modern Era (1960 onwards)

- The writing of Douglas McGregor, the total quality management movement, and the contingency approach to management were the significant land marks in the evolution of managing and understanding the behavior of people during the modern era.
- In 1960s Douglas McGregor, wrote the book entitled; *the human side of an enterprise*, which has become an important philosophical base for the modern view of people at work

Contributing disciplines to organizational behavior

1. *Psychology*
2. *Sociology*
3. *Political science*
4. *Social psychology*
5. *Anthropology*

Psychology

- *Psychology is an applied science, which attempts to explain human behavior in a particular situation and predicts actions of individuals*
- *It has contributed towards various theories on learning, motivation, personality, training and development, theories on individual decision making, leadership, job satisfaction, performance appraisal, attitude, ego state, job design, work stress and conflict management.*
- *Studies of these theories can improve personal skills, bring change in attitude and develop positive approach to organizational systems*

Sociology

- *Science of Sociology studies the impact of culture on group behavior and has contributed to a large extent to the field of group-dynamics, roles that individual plays in the organization, communication, norms, status, power, conflict management, formal organization theory, group processes and group decision-making*

Political science

- *Political science has contributed to the field of Organizational behavior.*
- *Stability of government at national level is one major factor for promotion of international business, financial investments, expansion and employment.*
- *Various government rules and regulations play a very decisive role in growth of the organization.*
- *All organizations have to abide by the rules of the government of the day.*

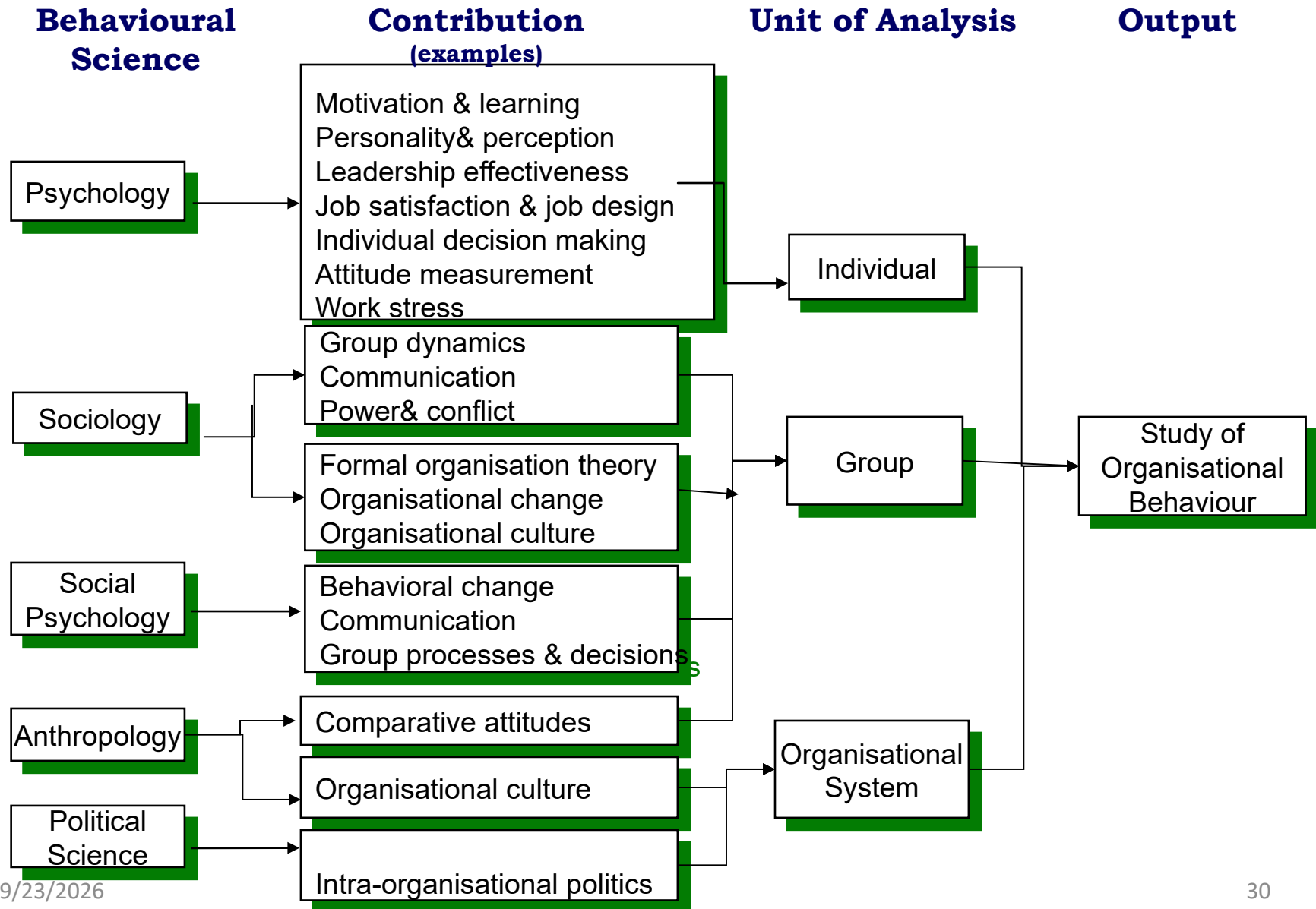
Social psychology

- *Working organizations are formal assembly of people who are assigned specific jobs and play a vital role in formulating human behavior.*
- *It is a subject where concept of psychology and sociology are blend to achieve better human behavior in organization.*
- *The field has contributed to manage change, group decision-making, communication and ability of people in the organization, to maintain social norms.*

Anthropology

- *It is a field of study relating to human activities in various cultural and environmental frameworks.*
- *It understands difference in behavior based on value system of different cultures of various countries.*
- *The study is more relevant to organizational behavior today due to globalization, mergers and acquisitions of various industries.*

Towards an OB Discipline



Thank you

Questions and Comments

